

Complaint. (*Ibid.*) The verdict further provided that New Generation “shall take nothing” from Palm 10, Harvey, and DPP for its claims asserted in its Complaint. (*Ibid.*) And, Palm 10 “shall take nothing” from New Generation. (*Ibid.*)

New Generation argues that both it and Palm 10 sought the \$1.5 million in deposit and extension fees. Palm 10 asserts that it was the prevailing party because it obtained a “net monetary recovery” when the \$1.5 million was *awarded* to it. However, the verdict did not make any award to Palm 10. It merely provided that New Generation was “not entitled to a return of its deposits and/or extension fees.” (*Id.* p. 19 of 22.) These circumstances do not indicate that Palm 10 obtained a “net monetary recovery” to make it the prevailing party and its MOC must be stricken in its entirety.

2.

CASE #	CASE NAME	HEARING NAME
CVPS2301515	NEW GENERATION INVESTMENTS, LLC VS PALM 10 ASSOCIATES, LLC	HEARING ON MOTION TO TAX COSTS

Tentative Ruling:

Plaintiff, New Generation Investments, LLC, alleges that Defendant, Palm 10 Associates, LLC (Palm 10) owns 246.4 acres of real property located near the intersection of Palm Drive and the I-10 freeway in Palm Springs. Plaintiff alleges that on 10/14/21, High Sand Dessert, LLC and Defendant entered into a Vacant Land Purchase Agreement and Joint Escrow Instructions (PSA), which was later assigned to Plaintiff, an entity with ownership common to High Sand Dessert, LLC. When Plaintiff and Palm 10 met to sign the PSA, the price was \$1.5 million higher than what they had previously agreed to. Defendant, Susan Harvey (Harvey), served as the dual real estate agent of both parties, and represented to them that she had received a “full price offer” for \$10,348,800 (\$1.5 million higher than agreed). Palm 10 heard Harvey’s representation, but did not correct her. Plaintiff protested the higher price, but she and Palm 10 indicated that they owed it to Palm 10’s partners to get the highest available price for the property. Plaintiff was unaware that Harvey’s representation about another offer was false – she had increased the price for Palm 10’s benefit to Plaintiff’s detriment when Plaintiff was also her fiduciary. Plaintiff alleges that Palm 10 concealed its knowledge that there was no other buyer.

Based on the false representation, Plaintiff signed the PSA, made the requisite deposit, performed all its obligations except those concerning its performance that were frustrated or prevented. Plaintiff ran into obstacles due to the size of the property that fell within multiple municipal jurisdictions with different permitting processes. The parties made amendments to accommodate Plaintiff’s due diligence. In about the third quarter of 2022, Plaintiff needed an additional extension of the escrow closing date, which Palm 10 agreed to, and inserted release language as to Palm 10, which excluded claims by Plaintiff against Harvey, as Palm 10’s agent. Plaintiff alleges that due to the exclusion Palm 10 remains liable for claims arising out of Harvey’s fraudulent conduct. Plaintiff also alleges that Harvey blocked Plaintiff’s access to the property, and interfered with its rights and ability to close escrow; that Palm 10 demanded Plaintiff close escrow; and that Plaintiff attempted to obtain an additional extension. Around this time, Plaintiff learned of Harvey’s fraudulent misrepresentation; she ultimately acknowledged there was no other offer. Plaintiff then demanded mediation under the Agreement, but Palm 10 has refused to respond to the demand.

Plaintiff filed its Complaint on 4/3/23 alleging five causes of action: 1) breach of contract; 2) specific performance; 3) rescission; 4) breach of fiduciary duty; and, 5) fraud.

On 3/13/24, Cross-Complainant, Palm 10, filed its Cross-Complaint alleging four causes of action: 1) breach of contract for damages; 2) breach of contract for specific performance; 3) negligent misrepresentation; and, 4) intentional misrepresentation.

This matter was tried before a jury beginning on 2/3/26. Following deliberation, the jury returned a verdict, which provided no relief on any of Plaintiff's causes of action against Palm 10, Harvey, or Desert Pacific Properties or Palm 10's causes of action against Plaintiff. (see 3/16/26 Defense Judgment.)

Plaintiff/Cross-Defendant, New Generation Investments, LLC (New Generation), brings this motion to strike/tax costs claimed by Defendants, Desert Pacific Properties (DPP) and Susan Harvey (Harvey) in their Memorandum of Costs (MOC) in the amount of \$58,424.80 filed on 3/25/26. New Generation argues that Defendants' claim to cost-shifting under CCP § 998 fails because it was not a valid or enforceable CCP § 998 Offer of Compromise (§ 998 Offer) as it was conditioned on acceptance of a settlement agreement that contained a release of unknown claims not encompassed within the pending lawsuit; and, that even if the § 998 Offer were valid, the MOC improperly seeks to obtain costs incurred prior to the 11/20/25 § 998 Offer.

Defendants, DPP and Harvey, oppose the motion arguing that they are the prevailing party in this action entitled to costs as a matter of right; that the costs DPP seeks are reasonable; that New Generation has the burden to refute DPP's claimed costs; that other than as to experts, costs are not dependent on the timing of a § 998 Offer; DPP included only allowable costs; and, that the expert fees are recoverable after 11/20/25.

The Reply asserts that DPP and Harvey have the burden to prove their § 998 Offer was a valid one because as written its full value cannot be determined; that the expert fees must be stricken as they are not allowable under CCP § 1033.5(b)(1) and CCP § 998 is the only authority invoked; that even if the Court reached the merits thousands in charges are not allowable (e.g., attorney hotel/transportation charges).

Motion to Tax Costs

Cal. Rules of Court ("CRC"), Rule 3.1700, provides that a prevailing party who claims costs must serve and file a memorandum of costs within 15 days after the date of the mailing of the entry of judgment An extension for filing this document can be given by the court or through an agreement by the parties. "[T]he court may extend the times for serving and filing the cost memorandum or notice of motion to strike or tax costs for a period not to exceed 30 days." (*Id.* at (b)(3).) This motion is directed to the MOC filed by DPP and Harvey.

The losing party may dispute any or all of the items in the prevailing party's costs memorandum. (CRC, Rule 3.1700(b)). Technically, a motion to strike challenges the entire costs bill whereas a motion to tax challenges particular items or amounts. But, the terms are often used interchangeably and there is no difference in the procedural rules. (CRC, Rule 3.1700(b).)

Unlike the costs memorandum, a motion to tax costs based on factual matters must be supported by declarations. (*County of Kern v. Ginn* (1983) 146 Cal.App.3d 1107, 1113-1114.) For instance, where "reasonableness" is challenged, conclusory allegations that the item was "neither necessary nor reasonable" do not satisfy the objecting party's burden. (*Id.*; *Jones, supra.* at 1266.) If the items on their face appear to be proper charges, the verified costs memorandum is prima facie evidence of their propriety, and the burden is on the opposing party to show that they were not reasonable or necessary. (*Ladas v. California State Auto. Ass'n* (1993) 19 Cal.App.4th 761, 774-776; *Jones, supra.* at 1266.)

Pursuant to CCP §1033.5(c)(1), certain items are allowable costs, including filing and motion fees, service of process fees, and deposition costs. Costs must be both reasonable in amount and reasonably necessary to the conduct of the litigation. (CCP §1032; §1033.5(c)(2) and (3).) To obtain a costs award, the prevailing party must serve and file a memorandum of costs. (CRC, Rule 3.1700(a).) Supporting documentation such as bills or invoices are not required, unless costs are put in issue by a motion to tax costs. (*Jones v. Dumrichob* (1998) 63 Cal.App.4th 1258, 1267.)

CCP §1033.5 also provides a lists of costs that are allowable and those that are not. CCP §1033.5(c)(4) provides that any items not identified as allowable and not specifically identified as prohibited, may be permitted at the Court's discretion. "Allowable costs shall be reasonably necessary to the conduct of the litigation rather than merely convenient or beneficial to its preparation." (CCP §1033.5(c)(2).)

In ruling on a motion to tax costs, the court must first determine "whether the statute expressly allows the particular item, and whether it appears proper on its face. If so, the burden is on the objecting party to show [the cost] to be unnecessary or unreasonable." (*Nelson v. Anderson* (1999) 72 Cal.App.4th 111, 131.) If an item is not expressly allowed under the statute, the burden is on the party seeking the expense to provide evidence that the fees are reasonable or necessary. (*Id.* at 132.)

Here, there is no dispute that DPP and Harvey are prevailing parties. Plaintiff/Cross-Defendant, New Generation, argues that many of the items in DPP's and Harvey's MOC must be stricken/taxed because their § 998 Offer is invalid. DPP and Harvey assert that the 11/20/25 § 998 Offer was conditioned on accepting a settlement agreement that improperly requires the release of unknown claims not encompassed in this lawsuit.

CCP § 998 is a cost-shifting statute designed "to encourage the settlement of litigation without trial, by punishing the party who fails to accept a reasonable settlement offer from its opponent." (Weil & Brown, CPG: Civ. Proc. Before Trial (TRG 2026) § 12:590 citing *Westamerica Bank v. MBG Indus., Inc.* (2007) 158 Cal.App.4th 109, 129.) A § 998 Offer must be in writing; state the terms and conditions of the proposed judgment or award; and contain a provision that allows the offeree to accept the offer by signing a statement so stating. (CCP § 998(b).)

Importantly, the terms must be certain and capable of valuation to trigger potential CCP § 998 penalties or it may not be possible to determine whether any recovery at trial is "more favorable." (*Id.* § 12:595 citing *Chen v. Interinsurance Exchange of Automobile Club* (2008) 164 Cal.App.4th 117, 121.) A § 998 Offer may contain nonmonetary terms such as a release but, "it may *not* be conditioned on matters that cannot be valued in monetary terms where CCP § 998 penalties are sought." (*Id.* § 12:596 citing *Barella v. Exchange Bank* (2000) 84 Cal.App.4th 793, 801.)

"An offer does not qualify under CCP § 998 if it seeks to dispose of claims beyond those at issue in the pending lawsuit because there is no way to determine whether a judgment in the pending action is "more favorable" than the value of those claims. (*Id.* § 12:596.5 citing *Chen, supra.*; *Ignacio v. Caracciolo* (2016) 2 Cal.App.5th 81, 84 ["general release of "any and all claims" whether "known or unknown" went beyond scope of current litigation and rendered offer invalid."]) However, where a release "[r]ead in context and as a whole" is "clearly limited to the claims in the underlying lawsuit" it is not overly broad. (*Auburn Woods I Homeowners Ass'n v. State Farm Gen. Ins. Co.* (2020) 56 Cal.App.5th 717, 726; *Rojas v. HSBC Card Svcs., Inc.* (2023) 93 Cal.App.5th 860, 894-896 [same].)

Here, the disputed § 998 Offer states that \$100,000.00 amount is conditioned on DPP and Harvey executing the Settlement Agreement and Mutual Releases in the attached thereto. (Dec. Safvati ¶ 2, Ex. "A", § 998 Offer.) The release in the Settlement and Release Agreement (SRA) states:

For the consideration set forth in this Agreement, the receipt and adequacy of which is hereby acknowledged, except for the obligations arising under this Agreement, the Parties agree that they each hereby release and forever discharge every other Party to the Agreement from any and all claims, actions, or causes of action, or obligations, liabilities, indebtedness, breaches of contract, breaches of duty, suits, liens, lawsuits, costs, or expenses of any nature whatsoever, *known or unknown*, fixed or contingent (except any agreements or claims arising directly from this Agreement), *arising out of, based upon, or relating to any matter alleged in the Action*. (Dec. Safvati ¶ 3, Ex. “A”, Ex. “A”, SRA § 4.1.)

While the SRA contains language indicating “unknown” claims, this language is expressly tied to the current litigation. (see *Id.* SRA § 2.1.) As a result, the § 998 Offer is valid. New Generation challenges specific entries in the DPP MOC on the ground that even if the § 998 Offer is valid, DPP and Harvey are claiming costs that they are not allowed to recover.

Item No. 1 (Filing and motion fees)

Under CCP § 1033.5(a)(1), filing fees are allowable costs, which must also be reasonably necessary to the conduct of the litigation and reasonable in amount. (CCP § 1033.5(c).) DPP and Harvey seek \$3,377.48 in filing and motion fees, which are individually listed in the MOC (Worksheet). New Generation argues that presuming the § 998 Offer is valid, DPP and Harvey can only recover costs incurred after the § 998 Offer was made. In other words, New Generation claims that DPP and Harvey served their § 998 Offer on 11/20/25 and are improperly seeking costs incurred prior to the date of the offer, which are not allowed.

However, there is no dispute that DPP and Harvey are prevailing parties. As such, they are “entitled as a matter of right to recover costs in any action or proceeding.” (CCP § 1032(b).) The MOC is *prima facie* evidence that DPP and Harvey are entitled to these costs. New Generation has the burden to challenge them on grounds they are not reasonable or necessary or that they are improper or not allowable. New Generation has not met its burden. These costs do not depend on the timing or service of a § 998 Offer. These costs are allowed.

Item No. 4 (Deposition Costs)

CCP § 1033.5(a)(3) allows an award of expenses for “[t]aking, video recording, and transcribing necessary depositions including an original and one copy of those taken by the claimant and one copy of depositions taken by the party against whom costs are allowed.” New Generation challenges \$10,249.88 in deposition costs incurred during the course of this litigation on the same grounds as set forth above.

Here again, New Generation has not asserted these costs are not reasonable or necessary, improper or not allowable. New Generation has not met its burden. These costs do not depend on the timing or service of a § 998 Offer. These costs are allowed.

Item No. 8b (Expert Witness Fees)

Expert fees not ordered by the court are generally not allowable as costs. (CCP §1033.5(b)(1).) However, expert fees are permitted in an MOC per CCP §998. In general, the court has discretion to require a plaintiff to pay a reasonable sum to cover *post-offer costs* of the services of expert witnesses when actually incurred and reasonably necessary for either or both defendant’s preparation for trial or arbitration and the trial or arbitration itself. (CCP §998(c)(1).)

New Generation challenges \$13,246.33 in DPP's and Harvey's MOC as to expert fees claiming they are not entitled to *preoffer* expert fees. To the contrary, DPP and Harvey assert that the claimed expert fees were only for costs incurred *after* 11/20/25 or *postoffer* expert fees. (Oppo., Dec. Lowe ¶ 10, Ex. "4".) As a result, these costs are allowed.

Item No. 15 (Other)

New Generation challenges one of the costs set forth in this category of DPP's and Harvey's MOC - the JAMS mediation fee (\$5,433.33.) However, the challenge is the same as for filing and motion fees and deposition costs, discussed above. New Generation has not established that these costs were unreasonable or unnecessary. It has not refuted DPP's and Harvey's *prima facie* showing that they were reasonably and necessarily incurred. These costs are allowed.

In addition, New Generation vaguely and in conclusory fashion, claims attorney hotel and transportation charges, attorney meals and per diem, and unexplained photocopying are not allowable. However, it has made this challenge, for the first time, in the Reply. Costs are allowed.

3.

CASE #	CASE NAME	HEARING NAME
CVPS2301515	NEW GENERATION INVESTMENTS, LLC VS PALM 10 ASSOCIATES, LLC	MOTION FOR ATTORNEYS FEES BY NEW GENERATION

Tentative Ruling: Denied.

Defendant/Cross Complainant to provide notice pursuant to CCP 1019.5.

Plaintiff/Cross-Defendant, New Generation Investments, LLC (New Generation), brings this motion for attorneys' fees pursuant to the Vacant Land Purchase Agreement (VLPA) entered into between New Generation and Defendant/Cross-Complainant, Palm 10 Associates, LLC (Palm 10) seeking \$202,049.50. (Civil Code § 1717(b)(1).) New Generation argues that it is the prevailing party because the jury returned a complete defense verdict in favor of New Generation on its Complaint and on Palm 10's Cross-Complaint. New Generation asserts its loss (\$1.5 million) was less than Palm 10's loss (\$2.9 million) so New Generation obtained the greater relief.

Defendant/Cross-Complainant, Palm 10 Associates, LLC (Palm 10), opposes the motion arguing that recovering the greater relief is not based on what was sought and *not* received but, on what it sought that was received; that Palm 10 is the prevailing party because it was *awarded* the \$1.5 million in deposit monies and extension fees as well as a release of the lis pendens; that Palm 10 is entitled to an attorneys' fees award of \$383,629.50; that the authority cited by New Generation that neither side recovered relief is factually distinguishable.

The Reply asserts that Palm 10's Opposition relies on a single factual assertion – that the Judgment awarded \$1.5 million to Palm 10, which it did not; the jury never reached the damages question of the special verdict; and, that the verdict was a mutual takes-nothing verdict.

Attorney Fees

In general, California follows the "American Rule" regarding entitlement to attorney's fees, whereby each party bears its own attorney's fees unless such fees are expressly provided for by statute, or are included as part of the terms of a contract. (CCP §1021; *Reynolds Metal Co. vs. Alperson* (1979) 25 Cal. 3d 124, 127.) Attorney's fees as an allowable cost item are governed by CCP §1033.5(a)(10) and (c)(5), and motions for such fees are governed by CRC 3.1702. The